

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.

Complainant

VS.

SM LINE CORPORATION

Respondent

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**RESPONDENT SM LINE CORPORATION'S
RESPONSE TO COMPLAINANT SAMSUNG ELECTRONIC AMERICA, INC'S
EXCEPTIONS TO INITIAL DECISION**

Pursuant to 46 C.F.R. §502.227 Respondent SM Line Corporation (“SM Line” or “Respondent”), through its undersigned counsel, hereby responds to Complainant Samsung Electronics America, Inc.’s Exceptions to the Initial Decision (hereinafter “SEA’s Exceptions” or “Exceptions”).

I. INTRODUCTION

SM Line submits that, with its Exceptions, SEA’s is effectively seeking to create a “strict liability” standard for carriers in which whenever a shipper or receiver accumulates a critical mass of demurrage and detention (“D&D”) charges, then it can present a claim to the Commission without being bound by the traditional requirement of meeting two burdens of proof: (1) that the unlawful practice of the carrier was the cause of the charges paid, and (2) what are the actual damages that derive from the unlawful practice. That burden of proof is the keystone of most common law and maritime law.

As the ID pointed out, the Complainant bears the burden of proving their allegations by a preponderance of the evidence. ID, p. 37, citing 5 U.S.C. 556 (d); 46 CFR 502.203; *Maier Terminals, LLC Complainant, v. the Port Authority of New York and New Jersey, Respondent.*, 2014 WL 9966245, at *14. The question of reasonableness, in turn, is dependent on the specific facts and circumstances of each shipment at issue, “container by container”. ID, p. 50.

SEA, on the other hand, proposes that facts shouldn’t matter. That a container-by-container analysis is not required when a violation is a systemic practice. In short, that D&D charges can be accumulated by the shipper over a prolonged period of time so that addressing them individually becomes “impractical” and the complainant is relieved of the burden of showing which charges are unreasonable by aggregating the entirety of the D&D charges paid. In SEA’s world, there is

no need to demonstrate that there was an actual violation for each and every container, and there is no need to demonstrate what the damages are for each container. This paradigm is tantamount to strict liability, which in civil law is a standard in which a party is legally responsible for what they did, even if there is no showing of fault on their part. Strict liability in the United States is a doctrine that is applied to abnormally dangerous activities in which public policy seeks to create safety and care. Setting aside that marine transportation would hardly qualify as such a dangerous activity, if SEA's argument were to become the standard for establishing liability and damages it would allow shippers to flood the FMC with consolidated claims in an effort to recover damages without putting in the diligence and work necessary to prove each claim.

SEA could have diligently and promptly processed the over 18,000 claims that accumulated in this proceeding throughout the span of three years. Had SEA done so, those claims would have been treated individually, and the reasonableness of the charges by SM Line would have been determined on a container-by-container basis as it is required by the Commission's precedent. In that world, some of those claims would undoubtedly have been settled, some dropped and some paid in full, leaving only the balance to be processed before the Commission. Additionally, the Commission would have had the benefit of being able to analyze each of the disputed charges on a container-by-container basis. In this matter, SEA is taking advantage of its own failing to file individual claims and its gross tardiness in waiting until September 26, 2023 to give notice to SM line that SEA was contesting demurrage and detention charges paid to SM Line in the amount of [REDACTED] dollars that accrued since the beginning of 2020. SM Line understands that SEA has repeated this same process with other carriers as well.

The Commission should not abandon the requirement that a complainant show the unreasonableness of demurrage and detention charges on a container-by-container basis. This rule

provides fairness for all parties in assessing “actual” damages, it allows for accuracy in assessing fault, it promotes settlement of individual claims, and it avoids promoting proceedings in which the underlying facts are no longer essential, and damages are summarily presented. Finding in favor of SEA would contradict precedent in that the Commission cannot rely upon “speculation”. ID, p. 37 citing *Waterman Steamship Corp. v. General Foundries, Inc.*, 1994 WL 279898 (FMC June 13, 1994).

Lastly, the Presiding Officer found that D&D charges issued by SM Line to SEA were unreasonable only to the extent that they were assessed without regard to which party was at fault. ID, p. 53. Consequently, to the extent that SEA was at fault, the charges would not be unreasonable. But no evidence has been provided by SEA with respect to the cause of the delay that gave rise to the demurrage and detention charges. Early in the time frame of these claims, SM Lines attempted to assess the extent of the claims being made, and sought information from SEA to assist in evaluating the claims. As the ID reported, SEA failed to even respond in 63% of these inquiries. ID, p. 35.

The undisputable truth in this proceeding is that SEA failed to provide the court with any accounting of its damages on a container-by-container basis, leaving the court with only the option of holding the carrier’s own draft and early assessment: the “D&D Summary Report” as a declaration against interest. A document that, as SM Line submitted in its own Exceptions to the Initial Decision dated June 20, 2025, should be disregarded as it is inherently unreliable and is not corroborated by other evidence.

By failing to provide a container-by-container analysis in support of its claim (although as will be shown SEA has in fact created such a report but chose not to produce it), and by waiting years prior to disputing the charges issued by SM Line, SEA created a situation in which any

reparation to SEA would be, de facto, speculative and in violation of the Commission's established precedent.

II. ARGUMENT

a. The Initial Decision rejected SEA's demands

Contrarily to what is asserted by SEA in its Exceptions, the Initial Decision did not support SEA's allegations and ultimately did not find in favor of SEA on any count with two marginal exceptions.

Specifically, the Initial Decision recognized that "SEA's principal argument is that SM Line acted unreasonably by imposing demurrage and detention charges against the shipments at issue because it was responsible for inland transportation on store-door moves and therefore responsible for all demurrage, detention, and accessorial charges absent a prior determination that SEA's performance was responsible for the charges". ID, p. 49. After reviewing what the Initial Decision characterizes as "extensive and fulsome discovery" and requesting additional clarifications from the parties in the form of the Order for Supplemental Information dated March 12, 2025, the Presiding Officer held that "in absence of a container-by-container analysis with information as to why each shipment remained in port beyond the last free day, as it is the case here, there will generally be insufficient information in the record to determine whether or not the demurrage and detention charges at issue serve their primary intended purpose under the incentive principle of promoting freight fluidity in accordance with section 545.5". ID, p. 50. The Presiding Officer ultimately found SEA failed to meet its burden of proof because "SEA did not provide a container-by-container analysis that includes the factual basis for which each demurrage and detention charge was assessed". ID, p. 54. The Initial Decision turned down SEA's corollary argument that "an ocean carrier is responsible for detention and demurrage on store door moves" as that argument was not supported by the applicable guidance. ID, p. 50. The ID also denied

SEA's claim that that SM Line's dispute process was unreasonable. ID, p. 53. Lastly, during the course of the proceedings, SEA filed a meritless motion to compel and for sanctions that the ID properly rejected in full. ID, pp. 38-44. SEA's attempt to revive their argument will be addressed *infra*.

Far from awarding SEA the "clean sweep on liability" that SEA boasts in its Exceptions, the Initial Decision found that SM Line's practices were in violation of the Shipping Act under only two limited profiles. The first one is that SM Line issued six (6) invoices out of the over 18,000 that are the subject of this action which were missing in each (1) a statement that the charges are consistent with any of the Federal Maritime Commission Rules with respect to detention and demurrage, or (2) a statement that the common carrier's performance did not cause the underlying invoice charges. ID. p. 57. With respect to those invoices, the ID recognized that they were not paid by SEA and that SM Line's statement that those invoices had been waived by SM Line was consistent with the record. ID. p. 58. The second profile concerns 115 demurrage and detention charges which the ID held SM Line assessed unreasonably against SEA, out of the 18,000 alleged by Complainant. SM Line in its Exceptions filed June 20, 2025, has presented reasons why the 115 charges should *not* be deemed unreasonable. By way of summary of the argument presented in its Exceptions, SM Line submits that the D&D Summary Report was prepared at a very early stage of the claim, and it was compiled using a very limited amount of information. ID, p. 34, ¶.174. The content of the D&D Summary Report was not corroborated by any other evidence, and SM Line witnesses questioned its reliability when they were shown the document. SM Line's Exceptions pp. 3-7. The only element that the D&D Summary Report actually established with certainty is that SM Line consistently collected D&D amounts for fewer days than what the actual number of days after the last free day would have supported. As it will be discussed *infra*, SM Line

regularly applied its policy to dismiss demurrage and detention charges for any days those charges were not owed to SM Line and offered additional discounts on D&D charges to SEA.

b. SEA fundamentally misinterprets the Initial Decision

Throughout the entirety of its Exceptions, SEA stressed that the Presiding Officer found SM Line's practice of "automatically" assessing all D&D charges on SEA to be unreasonable. SEA Exceptions, p. 23, p. 20, p. 2, p. 5

SEA mischaracterizes the language of the Initial Decision by implying that the Presiding Officer found that SM Line violated the Shipping Act because it assessed all D&D charges on SEA automatically. Nothing in the decision states that assessing D&D charges "automatically" is in violation of the Shipping Act. The Initial Decision specifically states that SM Line engaged in unreasonable practices "*to the extent* that charges were assessed regardless of which party was at fault". (emphasis supplied) ID, p. 53. Nothing in the sentence quoted, or anywhere else in the Initial Decision, relates to the "automatic" assessment of the charges being an unreasonable practice, and SM Line's automated system does not inherently assess charges without regard to which party was at fault.

The Presiding Officer recognized that SM Line calculates detention charges by means of "an automated system". ID p. 28, ¶ 126. The calculation is made "in accordance with the service contract and tariff, with any stop clock deducted". *Id.* "Stop Clock" is the term that SM Line uses internally to indicate an interruption in the computation of running D&D time before it was billed. CX_01123, Solarez Dep. Tr. p. 54:20-23, CX_01124, Solarez Dep. Tr. p. 54:20-23 p. 55:7-9. SM Line would issue stop clocks in various occasions when SM Line had determined that D&D charges should not be billed for those days. ID. p. 24 ¶¶ 88-92; CX_01124, Solarez Dep. Tr. p. 55:10-19; CX_001343, Askins Dep. Tr. p. 48:23-25. The reasons for stopping the clock would include cases in which the terminals were closed; when there were no spots to return empty

containers; during holidays or bad weather; etc. ID, p. 24, ¶89; CX_01124, Solarez Dep. Tr. p. 55:10-19; CX_015196, Ma Dep. Tr. p. 86:12-23.

Once determined that a stop clock was to be issued, SM Line then would update the information on its automated system. CX_015197-1598, Ma Dep. Tr. p. 87:19 - p 88:2; CX_001391, Askins Dep. Tr. p. 96:19 – 97:6. This would be the same system that would eventually calculate any demurrage and detention by deducting stop clocks. ID p. 28, ¶ 126.

SM Line practice as summarized above and as recognized by the Presiding Officer show that SM Line did perform inquiries as to the reason why containers were not returned in time by costumers. When the results of those inquiries showed that D&D should not be billed to the costumer because the reasons for the delays in returning the equipment were such that it was not the costumer's fault, a stop clock notice would be entered in SM Line's billing system and the corresponding time would not be charged as demurrage or detention. As a result of SM Line stop clock practice, during the years 2020 through 2022, SM Line did not bill D&D charges to the totality of its costumers for [REDACTED] days specifically to SEA. RX_0004698; RX_0004707. For avoidance of doubt, SM Line applied the waiver for all subject containers for those [REDACTED] days – meaning if 1,000 containers were in the terminal waiting to be picked up by the shipper but there was a stop clock for that day, all 1,000 containers received this waiver for that day.

This practice was also recognized by SEA's personnel. Maria Fernando, who was assistant manager at SEA until 2023, testified that she remembered the accruing of demurrage and detention being stopped pursuant to stop clocks issued by SM Line. CX_002939-2930, Fernando Dep. Tr. p. 10:21-25, p. 11:1-4; CX_002954-2955, Fernando Dep. Tr. p. 25:19-25, p. 26:1-23; CX_003075-003076, Fernando Dep. Tr. p. 146:20-25, p. 147:1-22.

Mr. Philip Goedinghaus, who was the “inbound coordinator” for SEA from 2017 to 2023, testified that SM Line at times went out of its way to push back or extending “the last free day” on several shipments, and that SM Line even guaranteed the demurrage charges with the Terminal who would no longer accept payment from SEA. CX_002784, Goedinghaus Tr, p. 10:9-10; CX_002862 p. 88:8-23; CX_002863-2864, p. 89:9-25, p. 90:2-3. In his testimony, Mr. Goedinghaus remembered that [REDACTED] (also “LFD” in the transcript) for a group of [REDACTED] [REDACTED] CX_002784, Goedinghaus Tr, p. 85: 15-25 through 94: 1-4. He also [REDACTED] [REDACTED] CX_002795, Goedinghaus Tr, p. 21:18-25, p. 22:1-8; CX_002799, Goedinghaus Tr, p. 25: 9-18.

The sworn testimony of both Ms. Fernando and Mr. Goedinghaus must be accepted as a declarations against the interest of SEA. Fed. R. Evid. 804 (b)(3).

SEA’s attempt to lump together the language of the Initial Decision to mean that the Presiding Officer somehow held that just because SM Line engaged in an unreasonable practice because it used an automated system to organize its workflow and bill its clients is a remarkable example of how SEA ignores the record and basic grammar. SM Line did use an automated system to organize billing, including demurrage and detention and, obviously, that alone does not constitute an unreasonable practice under the Shipping Act. What the Presiding Officer found to be unreasonable is the possibility that SM Line may have charged D&D to SEA in cases in which SEA was not at fault. As it will be shown infra, SM Line rejects the possibility that any of the charges collected from SEA would fall into that category. SM Line also respectfully submits that, in the event any such unreasonable charges were ever assessed or collected against SEA, it is SEA

who bore the burden of establishing that fault by means of a container-by-container analysis as that is the method that the Commission's legal precedent directs complainants to fulfill their burden of proof.

c. The ID is correct in holding that SEA did not carry its burden of proof

It is a fundamental principle of the American legal system that a claimant must prove the circumstances of fact that are at the basis of their claims. Proceedings in front of the Federal Maritime Commission are no exception to this general rule as Section 502.203 places the burden of proof "on the proponent of the motion or the order". 46 C.F.R. §502.203. SEA is the party that filed a complaint with the Commission seeking reparations, therefore they bear the burden of proof as the proponents of the order.

The "burden of proof", or as it also at times referred to, the "burden of persuasion", is the obligation for the proponent to prove a claim by a preponderance of the evidence "and this burden of persuasion does not shift." *Maier Terminals, LLC Complainant, v. the Port Authority of New York and New Jersey, Respondent.*, 2014 WL 9966245, at *14.

The ID correctly imposed the evidentiary burden on SEA to show a container-by-container analysis "that includes a factual basis for which each demurrage and detention charge was assessed." ID, p. 54. SEA, as the claimant who asserted SM Line is in violation of the Shipping Act and is now claiming reparations, maintains the burden of proving SM Line acted unjust and unreasonable, and such unjust and unreasonable behavior is the proximate cause of its damages. *Port Elizabeth terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Docket No. 17-07, 2019 WL 1376529, at *13 (FMC Mar. 25, 2019); see also 5 U.S.C. § 556(d). Recent FMC precedents have established the rule that a container-by-container analysis is required for such circumstances. See *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible*

Violations of 46 U.S.C. § 41102(C), Docket No. 21-09, 2022 WL 1239377 (FMC Apr. 22, 2022); *Visual Comfort & Co. v. Cosco Shipping Lines Co.*, Docket No. 24-01, 2025 WL 1662697, (ALJ Apr. 28, 2025); *Simple Forwarding Inc. v. China United Lines Ltd.*, Docket No. 2010(F), 2025 WL 1723588, (ALJ Feb. 6, 2015) (noting that where Claimant submitted no evidence regarding certain charges, ALJ refused to accept the assumption that a pattern of unreasonableness applied to such charges) *TZ SSE Buyer, LLC. v. Yang Ming Marine Transport Corp.*, Docket No. 24-10, 2025 WL 1083815 (ALJ Mar. 24, 2025).

SEA attempts to refute this precedent claiming that the shipments in the cases cited above moved on merchant haulage basis, and that such circumstance renders those decisions inapplicable to shipments moved as carrier haulage likes the ones at hand. This differentiation however is unsupported by precedent and is not a point of analysis in any of the cited initial decisions. In fact, the container-by-container burden of proof assignment arises from SEA's status as the claimant, and not from any mode of internal haulage structure within the transactions. SM Line respectfully submits that the FMC precedent requiring that unreasonableness of charges and computation of any reparations should be proven by a container-by-container analysis is applicable to SEA in this matter.

Chief Administrative Law Judge Erin Wirth set the requirement that the reasonableness of demurrage and detention charges be determined on a container-by-container basis in *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(C)*, Docket No. 21-09, 2022 WL 1239377 (FMC Apr. 22, 2022). There, the ALJ reviewed the evidence regarding each individual container to assess whether respondent violated the Shipping Act for: 1) assessing detention in relation to eleven containers where return appointments were unavailable during free time, and 2) failing to waive detention when presented with evidence of unavailable appointments.

Id. at *1; see *TZ SSE Buyer, LLC.*, 2025 WL 1083815 at *19 (ALJ Mar. 24, 2025). Upon reviewing the evidence regarding each individual container, Judge Wirth concluded that, where documentation was absent, she was unable to make findings as to their reasonableness. *Id.* at 26-30. The fact-specific inquiry was then adopted in subsequent proceedings to determine whether complainant carried its burden of showing that a carrier’s charges are unjust and unreasonable. Specifically, the ALJ in *Visual Comfort & Co. v. Cosco Shipping Lines Co.* conducted a container-by-container analysis to determine whether Cosco’s automatic assessment of D&D charges were unjust and unreasonable. Docket No. 24-01, 2025 WL 1662697, at *24 (ALJ Apr. 28, 2025).

SEA argues that “a container-by-container analysis is not necessary or appropriate here because SM Line automatically applied the same unreasonable practice on all SEA store-door shipments without first evaluating fault on a container-by-container basis.” SEA Exceptions, p. 23. This argument, however, is directly against the Commission precedent. As stated before, the complainant in *Visual Comfort & Co.* argued that respondent “automatically assessed charges even when customers were unable to move cargo through no fault of their own” and the ALJ found that “it was appropriate to review the charges related to each individual container in order to determine whether a charge was unjust or unreasonable.” 2025 WL 1662697, at *24. This decision makes clear that as little as 3 months ago the Commission held that claims of unreasonable D&D practices are subject to the container-by-container analysis regardless of whether the alleged conduct is for automatic billing practices.

SEA next urges the idea that SM Line’s alleged practice of automatic billing is already established as unreasonable and therefore a separate container-by-container analysis is inappropriate because it would result in a “second” showing of unreasonableness. This argument however improperly conflates proof of a violation with proof of causation and fails to establish

which charge was caused through no fault of their own. Even if SM Line's automatic billing practices was found to be unreasonable, the claimed unreasonable practice must be subject to a container-by-container analysis to determine fault with respect to each charge and an appropriate reparation amount, if any. To hold otherwise would abandon the fundamental principle in US law that claimants must provide proof of causation when making any claims for reparations. Relying on an unreasonableness categorization as proof of causation is putting the cart before the horse: it does not supply the necessary factual basis for making a determination as to what caused the delay that gave rise to detention and demurrage charges.

SEA's reference to the Commission's policy statement on class actions carries no legal weight with respect to Complainant's burden of proof. *See* SEA Exceptions, p. 25. That policy statement is not a rule, was issued without notice and comment, has no discernable legal effect, cites no legal authority in support of its conclusion, and is a simplistic approach to a topic the FMC previously acknowledged raises complex issues of first impression. *In Re Vehicle Carrier Services*, 1 FMC 2d 440, 470 (FMC October 21, 2019). In any event, an informal policy statement cannot modify a statutory requirement to demonstrate causation or the requirement to prove damages with reasonable certainty.

Lastly, SEA alleges that the container-by-container analysis would be burdensome and disproportionate to this proceeding. Although SEA is correct in the number of charges at issue, it refrains from acknowledging that the accumulation of more than 18,000 claims is due to its own acts of failing to present any claim or dispute any of the charges, for three years. The Presiding Officer recognized this circumstance and held that "the record does not include any competent evidence that SEA disputed any of the charges at issue". ID at 53. SEA, like all charged cargo entities, are given an opportunity to refute their charges when D&D is assessed against them.

Choosing to wait 3 years was a decision on their part that ignores precedent and should not create a situation in which the accumulation absolves them from meeting their burden of proof. This argument warrants the same authority cited by SEA in its brief stating the wrongdoer should “bear the risk of the uncertainty which his own wrong has created.” SEA Exceptions, p. 26; *Bigelow v. R.K.O. Pictures, Inc.*, 327 U.S. 251, 265 (1946).

d. SEA should be estopped from claiming direct damages in the amount of [REDACTED] because SEA made no effort to provide a container-by-container analysis despite having the information necessary to do so

SEA goes to great lengths in its Exceptions to argue that that the ID “erroneously concluded that SEA failed to establish proximate cause for all but a fraction of its claims”. SEA’s Exceptions, p. 22. SEA also purports that the ID “erred by imposing an unprecedented and excessive evidentiary burden requiring a container-by-container analysis to establish both liability and damages”. SEA’s Exceptions, p. 11.

However, the fact is that the record in this case establishes that SEA was actually in possession of internal reports which provided a “container-by-container” analysis of both causation and damages; they simply choose to withhold it from the Presiding Officer.

Mr. Philip Goedinghaus testified at his deposition that he was the “inbound coordinator” for SEA from 2017 to 2023 after which he was promoted to manager. CX_002784, Goedinghaus Tr, p. 10:9-10; CX_002787 p. 13:16-20. Mr. Goedinghaus’s job was to investigate and “validate” demurrage and detention charges and other accessorial charges. CX_002817, Goedinghaus Tr, p. 43:21-23. More specifically his job was to determine whether the charges were the fault of Samsung or of the steamship line. CX_002818-2819, Goedinghaus Tr, p. 44:21-25, p. 45:1-16). Or, in the words of Mr. Goedinghaus, he would “validate who is responsible” on behalf of SEA. CX_002819, Goedinghaus Tr, p. 45:6-9. The validation process consisted of reviewing the emails exchanges to figure out what happened”. CX_002875-2876, Goedinghaus Tr, p. 101:16-25, p.

102:3-9. However, even if he validated a demurrage or detention charge, the decision to pay the charge was left to the finance department. CX_002871, Goedinghaus Tr, p 97:3-10.

SEA created a report in the form of an Excel spreadsheet with the purpose of finding out, container by container, whether SM Line or SEA was responsible for the charge:

[REDACTED]

CX_002812-2814, Goedinghaus Tr, pp. 38:9-25, 39:1-25, 40:1-11 (emphasis supplied); CX_002825, Goedinghaus Tr. p. 51:7-8.

Despite clear indication from Commission precedents that a container-by-container analysis is required; despite being ordered by the Presiding Officer in the Order for Supplemental Information to provide a container-by-container analysis, and, most importantly, despite being in possession of the analysis necessary for a container-by-container report, as shown by Mr. Goedinghaus's testimony, SEA still refused to reveal its own analysis to the Presiding Officer. The burden on the Presiding Officer to determine causation and damages in this case could have been significantly reduced had SEA provided its own internal report on the cause of demurrage and detention and the dollar amount of those charges.

SM Line respectfully asks this Commission to estop SEA from further attempts to establish liability of SM Line or to allow SEA to offer additional evidence of any damages in this case as they refused to produce their report as specifically requested by SM Line in its discovery demands and, more importantly, by the Presiding Officer in the Order for Supplemental Information

Alternatively, SM Line submits that the Commission should take an adverse inference because of SEA's refusal to provide the Presiding Officer with the information she was seeking. SEA's gamesmanship is clearly at display here in that SEA is hiding its own assessment of the fault and cost for each demurrage and detention charge in an attempt to obtain a refund for the entirety of what they have paid over three years. The Commission should draw the necessary conclusion that: if SEA is in possession of a container-by-container analysis assessing fault for the demurrage and detention charges, and SEA decided not to produce it, it is most likely that such analysis does not support SEA's claim for [REDACTED]

e. SEA is not entitled to reasonable or adverse inference and is not entitled to legal fees

Reasonable Inference

Startled by the failure of its strategy and unhappy by the reduced reparations granted by the Presiding Officer in the ID, SEA now alleges that the ALJ must draw all reasonable inferences from SM Line's D&D Summary Report. Having failed to provide proof of its actual damages on a container by-container basis, SEA is now seeking to expand its recovery to \$ [REDACTED] based solely upon a so-called "reasonable inference" of SM Line's D&D Summary Report. ID, pp. 60-61, SEA's Exceptions, p. 36. Putting aside that the SM Line D&D chart was prepared on a draft basis without checking the details, and was completed on April 27, 2023 only weeks after the suit was filed by SEA, the D&D Summary Report is inherently inaccurate. ID, p. 34. Respondent reiterates that the inaccuracy of the document makes it is unreliable and unsuitable to be used as a declaration against interest. SEA, however, now relies upon SM Line D&D Summary Report in an attempt to prove the entirety of its "actual damages". Even assuming that the Commission would confirm the ALJ's findings as to what damages have been admitted by SM Line in the D&D Summary Report, SEA's demand that the Commission draw additional "reasonable inferences" as to other categories of damages is unsupported by FMC precedent and should be denied.

In an attempt to bootstrap its request for "reasonable inference" to be drawn in its favor, SEA relies heavily on *Waterman Steamship Corporation v. Gen. Foundries Inc.* - 1993 WL 13975538, adopted in relevant part 1994 WL 279898 (FMC June 13, 1994) and *Worldwide Relocations, Inc.* 2012 WL 11914713, (FMC March 15, 2012). The facts at issue in *Waterman* are substantively different than the ones at hand, and, similarly, the Commission's associated findings are inapplicable to this dispute and do not support SEA's argument. In *Waterman*, the Commission found reasonable inference of the fraudulent intent of a shipper who issued –and

shortly thereafter cancelled— a check in payment of freight so that the delivery of the cargo effectively terminated the lien of the carrier on the cargo.¹ There is nothing on the record in the matter at bar that suggests the issuance of the invoices for charges by SM Line was fraudulent. Further, SEA is attempting to draw a reasonable inference on the question of its actual damages, not for any showing of SM line’s intent or associated liability inference.

Worldwide Relocations is also a case cited by SEA in support of their argument. SEA’s Exceptions, p. 30; *Worldwide Relocations, Inc.* 2012 WL 11914713 (FMC Mar. 15, 2012). In *Worldwide Relocations* there is no discussion nor holding about drawing reasonable inferences in support of the computation of actual damages or reparations. In the decision, the ALJ found it appropriate to reasonably infer that a company was holding itself out to the public as an NVOCC because it routinely issued bills of lading. *Worldwide Relocations, Inc.* 2012 WL 11914713, at *6). The ALJ found this inference was “especially appropriate when dealing with violations where an entity’s status as common carrier is at issue.” *Id.* As with *Waterman*, this precedent does not contain facts and legal arguments that support SEA’s argument that the Commission should draw reasonable inference in the computation of actual damages or reparations.

In *Loughan*, another case used by SEA in support of its argument, the Court ultimately held that, “[We stress] that the habit or pattern of conduct is never to be lightly established, and evidence of example, for purpose of establishing such habit, is to be carefully scrutinized before admission.” *Loughan v. Firestone Tire & Rubber Co.*, 749 F.2d 1519, 1524 (11th Cir. 1985). Such

¹ The record in this proceeding shows that General Foundries engaged in “falsification” and “deception,” as specified by Pacific Far East Lines. Moreover, General Foundries’ conduct runs afoul of the standard set forth in 46 C.F.R. § 571.2, which states that an unjust or unfair device or means can “be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.” By tendering its checks, accepting delivery of the cargo, and stopping payment on the checks, General Foundries deceived *Waterman* into relinquishing its security interest in the cargo. *Waterman Steamship Corp. v. General Foundries, Inc.*, 1994 WL 279898, at *8

attitude toward the evidence of habit is based on “the collateral nature of [such] proof, the danger that it may afford a basis for improper inferences, the likelihood that it may cause confusion or operate to unfairly prejudice the party against whom it is directed.” *Id.* It is only when examples offered to establish such pattern of conduct or habit are “numerous enough to base an inference of systematic conduct,” that examples are admissible. *Id.* SEA’s strategy from the beginning was to make ***no effort*** to provide even a single example of the alleged impropriety of SM Line’s charges. As set forth *supra*, this strategy is in full display when SEA decided not to produce the internal report on liability and damages arising from demurrage and detention charges that SEA generated internally. SM Line submits that the ID found “[SEA’s expert] report to be unpersuasive due to his failure to perform a container-by-container analysis. Mr. McCown’s review of industry practices, contractual obligations, and income growth data does not shed light on the underlying facts and circumstances necessary to make a reasonableness determination under a fault analysis”. ID, p. 51.

SEA also attempts to fabricate an “admission” by SM Line’s expert, Lee Claire, that it was not possible to do a container-by-container analysis in this case. Lee Clair’s statement only refers to the impossibility to prepare a container-by-container analysis *based on one single excel file* that he was shown during his deposition. (See for context CX_003626-CX_003632 and in particular Tr. 260:11-12 quoted out of context by SEA “A container by container analysis could not be done on this”). CX_003626-CX_003632, Clair Tr. 260:11-12 (emphasis added). The fact of the matter is that Mr. Clair’s job was not to do a container-by container analysis in his report. His job was to rebut SEA’s attempt to prove its claims and right to reparations which should have included SEA’s own container-by-container analysis, but it did not. SEA’s attempt to mischaracterize Mr. Lee’s

statement is yet another attempt to switch the burden of proof to hide the deficiencies of its own case.

Adverse inference and Legal Fees

SM Line maintains its position that it was under no duty to preserve evidence until the filing of the lawsuit and that SEA has not shown that any evidence that was lost was relevant. Furthermore, if any evidence was lost, SM Line's actions lacked the culpable state of mind and intent required to impose sanctions.

It is well established "[T]he obligation to preserve evidence arises when the party has notice that the evidence is relevant to litigation or when a party should have known that the evidence may be relevant to future litigation." *In re Keurig Green Mountain Single-Serve Coffee Antitrust Litig.*, 341 F.R.D. 474, 494 (S.D.N.Y. 2022) (quoting *Fujitsu Ltd. v. Fed. Express Corp.*, 247 F.3d 423, 436 (2d Cir. 2001) (internal quotation marks omitted).

Generally, the filing of a lawsuit does trigger the duty to preserve evidence. *Victor Stanley, Inc. v. Creative Pipe, Inc.*, 269 F.R.D. 497, 522 (D.Md.2010). "[A] vague or far-off possibility" of litigation is insufficient to trigger the duty to preserve". *Steves & Sons, Inc. v. JELD-WEN, Inc.*, 327 F.R.D. 96, 106 (E.D. Va. 2018). The case law cited by SEA in its Exception is in an attempt to subvert the ID's correct application of the law. Every case referenced by SEA involves a demand letter that has been held to be sufficient to *trigger* the duty to preserve. That is not the situation in this case. SEA's letter of September 23, 2022, to SM Lines was not a demand for litigation: it was only an invitation to resolve the matter amicably. *Turner* stands for the general principle that it is the filing of a lawsuit that triggers the duty to preserve evidence *Turner v. U.S.*, 736 F.3d 274, 282 (2013). In *Keithley*, the plaintiff's letter threatened the filing of a lawsuit 4 days after the date of the demand letter. *Keithley v. Homestore.com, Inc.*, 629 F.Supp.2d 972, 974 (2008). The cases of

Surowiec and *Goodman* cited by SEA, involved a letter threatening litigation that were sent by its legal counsel.

However, in the matter at bar, SEA's Demand Letter was sent by SEA's management, on SEA's letterhead, and not by counsel for SEA. Internal counsel was not even copied. It did not contain any indication that SEA would seek imminent, let alone immediate, judicial action. On the contrary, the Demand Letter expressly left the door open to future negotiation by stating that SEA "prefers to reach a private and amicable resolution on mutually acceptable terms."

Moreover, SEA has not shown that there was any intent on behalf of SM Line to deprive SEA of the use of that information in litigation.

SM Line has maintained a long-standing document retention policy since the company's inception in 2017 and the policy was applied uniformly throughout the years in the Korean office of the company. This circumstance, by itself, should eliminate any suggestion that SM Line acted with the "culpable state of mind" required by the leading cases in the matter. See *Klipsch Grp., Inc.*, 880 F.3d 620, 628 (2d Cir. 2018).

SEA has not presented any evidence that SM Line acted with intent when it applied its standard document retention policy prior to the filing of the complaint. Indeed, SM Line submits that SEA has not shown that SM Line acted with negligence either. As explained SM Line was not under a duty to preserve evidence prior to the filing of the Complaint on April 19, 2023. Once the Complaint was filed, SM Line acted promptly and began the identification and collection of documents relative to SEA's claim. It is not SM Line's fault if SEA delayed the commencement of the action until mid-2023 when the great majority of e-mail communications to and among SM Line's employees that occurred in the years 2020 through 2022 had already been deleted. The

Court should not ascribe a non-existent intent to damage SEA to SM Line's behavior of continuing with its ordinary and long-standing business practice.

In *Fashion Exch LLC v. Hybrid Promotions LLC* 14 Civ. 1254 (SHS)(OTW) 2019 WL 6838672 (SDNY Dec. 16, 2019), upon which SEA relied the Court ultimately did not award sanctions. In that case Plaintiff was severely deficient in its discovery obligations and while promising the production of several business records that testimony revealed existed, it ultimately only produced a short 10-line summary of those records because of a server problem issue. The record is clear in the case before the Commission: SM Line timely preserved and produced thousands of documents during the course of discovery.

SEA is right that in *Ottoson* adverse inference and sanction were granted because of the failure of a party to take any steps to preserve certain emails after the duty of preservation arose. But taking steps necessary to preserving emails is something that SM Line undoubtedly did. What SEA leaves out of the equation is that the Court in *Ottoson* found that the party in question acted with bad faith – the very standard that SEA argues should not be met. *Ottoson v. SMBCC Leasing & Fin., Inc.*, 268 F. Supp 3d 570, 581 (SDNY July 13, 2017).

SEA's request for legal fees for litigating the spoliation of evidence issue necessarily fails as well. There can be no prejudice to SEA where the duty to preserve evidence arose after the documents had already been destroyed.

Similarly, SEA's request for the application of double damages to post OSRA 2022 purported charges fails. SEA suggest the same broad stroke approach where the fact alone that a charge was invoiced and paid makes it unlawful. But that can't be for the very same reasons held in the ID and explained *supra*. Furthermore, SEA's reliance on *Crocus* for its argument that double damages should be extended to pre OSRA alleged violations is misplaced at best. SM Line does

not contest the principle that the “primary objective of the shipping laws administered by the Commission is to protect the shipping industry’s customers. *Crocus Invs., LLC v. Fed. Mar. Comm’n*, No. 21-1199, 2022 WL 3012275, at *4 (D.C. Cir. July 29, 2022). In *Crocus* the Commission ultimately did not award any damages whatsoever for the complainant failure to prove its case, let alone double damages. (The Commission’s analysis of those four cases was logical, and its conclusion that they do not add up to a normal or customary practice of overcharging for storage was reasonable and grounded in the administrative record. That is all the APA requires here. For all of those reasons, the petition for review is denied. *Crocus Invs., LLC v. Fed. Mar. Comm’n*, No. 21-1199, 2022 WL 3012275, at *5 (D.C. Cir. July 29, 2022)).

f. SEA is not entitled to Further Proceedings Under Rule §502.251

The basic principle of any litigation proceeding is that a Complainant has the burden of proving its claim. Since the beginning of the proceeding, SEA ignored this basic principle and made no effort whatsoever to show that even one single charge for which it claims restitution was improper. Indeed, SEA’s failure to establish its claim started long before this two-year proceeding. As the ID notes, “SM Lines D&D Summary Report shows ‘No Reply’ (from SEA) for 63% of the demurrage charges, which signifies that SEA did not respond to SM Line’s request for information”. ID, p. 35, ¶ 177. SEA’s strategy of choice has been that any alleged violation, if established, warranted full restitution of the full amount it claimed. Faced with the failure of this strategy SEA now seeks to be allowed to prove its damages under Rule 251 of the Commission’s Rules of Practice and Procedure. This is only another attempt by SEA to get a second bite at the apple. But SEA’s attempted reliance on Rule 251 is unwarranted here.

Rule 251 provides:

If many shipments or points of origin or destination are involved in a proceeding in which reparation is sought (See § 502.63), the Commission will determine in its decision the issues as to violations, injury to complainant, and right to reparation.

If complainant is found entitled to reparation, the parties thereafter will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation due before the order of the Commission awarding reparation is entered. In such cases, freight bills and other exhibits bearing on the details of all shipments, and the amount of reparation on each, need not be produced at the original hearing unless called for or needed to develop other pertinent facts.

The purpose of Rule 251 is not to give complainants a second bite at the apple and does not apply in these circumstances. Historically, Rule 251 applies to situations where, due to a bifurcation of the proceeding, liability is tried separately from damages. See., e.g., *All Marine Moorings, Inc. v. Ito Corporation of Baltimore*, FMC Docket No. 94-10 (ALJ Oct. 6, 1995); *Gulf Container Line v. Port of Houston Authority*, FMC Docket No. 89-18 (FMC May 3, 1991). Rule 251 is also applied in situations where the amount of damages sought is unclear from the record below. See, e.g., *Color Brands, LLC v. ASAF Logistics, Inc.*, FMC Docket No. 22-18 (FMC Jan. 18, 2024); *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, 27 SERER. 1251 (FMC 1997).

Neither situation is present in this case. Since April of 2023, when SEA filed its complaint in this proceeding, SEA has had many opportunities during which it could have requested the bifurcation of the proceeding so that liability and damages be addressed in different phases. It did not. SEA extensively relied on expert reports to provide summary accounting of its claimed damages. It refused to provide its own spreadsheet which itemized the causation and the actual damages of each claim. SEA was hoping to create new law that both causation and damages were established for a compilation of thousands of claims so long as some portion of the claims involved an unlawful charge. Since the ID rejected this approach, and awarded substantially less based upon its opponent's D&D Summary Report, SEA now wants a new hearing to provide a better accounting of its damages.

This is not the purpose of Rule 251. SEA should not be rewarded for its own failure to ignore the well-established principle that the violation does not automatically support reparation absent proof of damages. *See MAVL Capital Inc., et al. v. Marine Transport Logistics, Inc., et al.* 2022 WL 2209421, at *3 (FMC Jun. 10, 2022). As the ID held at page 59, “the Shipping Act requires that the Commission shall direct the payment of reparations to the Complainant for **actual** injury caused by the violation of the Act. 46 U.S.C. Sec 41305 (b)”. (emphasis added). Importantly, the ID goes on to note, citing to *MAVL Capital Inc* in that the Commission has explained “...there is no presumption of damage, and the violation in and of itself without proof of pecuniary loss resulting from unlawful act does not afford a basis for reparations. It was SEA’s burden to meet those standards for proof of damages during the two-year proceeding. 2022 WL 2209421, at *3 (FMC Jun. 10, 2022).

SEA relies on two cases in support of its request to further proceed under Rule 251 both of which presented very different situations that are not applicable to this matter. In *Perry’s Crane Services v. Port of Huston*, Rule 251 was appropriate because “the record on the question of damages was developed in a rather hit or miss, haphazard manner” and that “even the elements of damages were not clearly enunciated nor the amounts”. *Perry’s Crane Services v. Port of Huston* Dkt. No. 75-51, 16 S.R.R. 1459, 1487 (ALJ Sept. 28, 1976). This is clearly not the case here. SEA has been very vocal concerning the accuracy of the computation of its damages by its expert. SEA’s citation to the ALJ’s holding in *Perry* that “it would be unconscionable, in my opinion to leave complainant without some degree of pecuniary restitution for his trouble” *Perry’s Crane Services* at 1490, is also telling. In this case – while disputed by SM Line – the ALJ in the ID did award SEA pecuniary restitution, just not in the amount that SEA likes.

SEA also relies on *Story Parchment Co. v. Paterson Parchment Paper Co.* 282 U.S. 555, 563 – an action arising under the Sherman Anti-Trust Act to recover damages resulting from an alleged conspiracy, for another sensational self-serving quote that “it would be a prevention of fundamental principle of justice to deny all relief to the injured person”. Again, this is not the case here, where *reparation has been awarded in the amount of 1,913,355.80*, but not in the amount that SEA would like.

Since SEA did not request the bifurcation of the proceeding and had an opportunity to develop an extensive record with respect to damages, remanding this proceeding for further briefing on damages would unfairly reward SEA for using a strategy that failed to make its case. There is no doubt that SEA had hoped that its radical idea that “systematic violations” of the Shipping Act does not require individualized proof (SEA Exceptions, p. 12), which would be accepted by the ALJ, and if not, then it could always go back and ask to relitigate the quantum of its actual damages at the expense and time of both the Commission and the Respondent.

g. The ID finding that SM Line’s demurrage and detention policy did not incentivize the movement of cargo does not support SEA’s demand for reparations

SEA claims that the existence of a draft document allegedly stating SM Line plans for demurrage and detention charges from 2022 onwards should support SEA’s claim for reparations. SEA erroneously confuses evidence of an unreasonable practice with evidence of entitlement to reparations.

It bears repeating that, in order to establish a successful claim for reparations based on an unjust or unreasonable practice, the practice must be the proximate cause of the claimed loss. 46 C.F.R. §545.4(e). The burden of proving causation, as well as the other burdens of persuasion in FMC proceedings, falls on the claimant, in this case, SEA. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022) (complainant

bears burden of proving entitlement to reparations). Furthermore, it is also established precedent that a “establishing a Shipping Act violation alone does not justify reparations-- complainants must also show that they sustained a pecuniary loss as a result of the unlawful act”. *Id.*

In light of the Presiding Officer’s finding that SM Line engaged in a policy that “constituted an unreasonable practice to the extent it assessed charges regardless of which party was at fault” SEA maintains its burden of showing how this shipping act violation (which SM Line disputes) caused its actual damages and entitles SEA to reparations. ID, p. 52. In other words, SEA must identify in which instances SM Line assessed charges “regardless of which party was at fault”.

The Interpretive Rule on Demurrage and Detention Under the Shipping Act clearly states that determinations regarding the reasonableness of demurrage and detention charges will depend on the facts of each case. 85 Fed. Reg. 29638. As recognized by the Commission in *TWC v. Evergreen*, the D.C. Circuit also held that the FMC “commit[ted] to making a circumstantial, fact-bound inquiry in the interpretative rule”. *TCW, Inc., Claimant, v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement Respondents.*, 2025 WL 516256, at *4. SM Line has addressed *supra* how established Commission’s precedent requires that a claimant provide a container-by-container analysis in order to establish unreasonableness of demurrage and detention charges. In particular, Chief Administrative Law Judge Wirth issued a warning to future complainants that proceedings “would benefit from a greater focus on the specific shipments. So, for example, rather than just listing invoice numbers, it would be helpful to identify who handled the shipments, the dates free time ended and detention was charged, the amounts invoiced, etc.” *Hapag-Lloyd, A.g. and Hapag-Lloyd (America) LLC-possible Violations of 46 U.S.C. S 41102(c)*, 2022 WL 1239377, at *2.

SEA ignores the Commission's indication that determining reasonableness of demurrage and detention requires a fact intensive analysis as well as the ALJ's and Commission's decisions that show how that fact analysis must be performed: container-by-container. Instead of carrying its burden of persuasion, SEA argues that (a) proof that an unreasonable practice existed, and (b) proof that SEA made any payment to a carrier for demurrage and detention equates to a right for SEA to recover the entirety of the charges Sea allegedly paid. This syllogism lacks at least one, crucial, premise: SEA, like any complainant, must show that any such charges were paid because of the practice. This is contrary to precedent cited above that "establishing a violation alone does not justify reparations." *MAVL Capital Inc., et al. v. Marine Transport Logistics, Inc., et al.* 2022 WL 2209421, at *3 (FMC Jun. 10, 2022). The Commission should confirm the decision by the Presiding Officer on this point and reject SEA's Exceptions.

III. CONCLUSION

Footnote 143 to the Interpretative Rule addressed concerns raised by industry organizations. Specifically, the Commission excluded that shippers could benefit from a lack of paperwork presented because such lack of documentation would ultimately just translate into a difficulty for the shipper to show that the application of demurrage and detention was unreasonable. In other words, the Commission's intention that the cargo interest bears the burden of showing the facts that support each claim that D&D charges were unreasonable was clear from the very text of the Interpretative Rule. Nothing in the Interpretative Rule suggests any reversal or shift of the ordinary rule that plaintiffs bear the burden of proving their claim.

The Commission should reject SEA's argument in toto, as it would promote a standard of proof that exonerate claimants from the burden of presenting sufficient evidence to support their claims. Any such decision would constitute a drastic interruption of the consistent Commission

precedent requiring that: (a) claimants prove the unreasonableness of demurrage and detention charges on a container-by-container basis, (b) claimants prove that any damages they incurred are the fruit of unreasonable charges being assessed against them, and (c) claimants prove that the amount of reparations they are seeking is supported by evidence and not speculative.

Preserving the current framework in which all three of these elements need to be proved by a preponderance of the evidence would promote freight fluidity by ensuring that cargo interest are stimulated to promptly return carrier's equipment. The Commission should stay

loyal to the text of the Interpretative Rule and require that each case involving demurrage and detention be assessed on its own facts, and that it is the claimants' burden to prove those facts.

/s/Wook Chung

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Dated: July 14, 2025

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 14th day of July 2025, the foregoing document was served via electronic mail on:

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